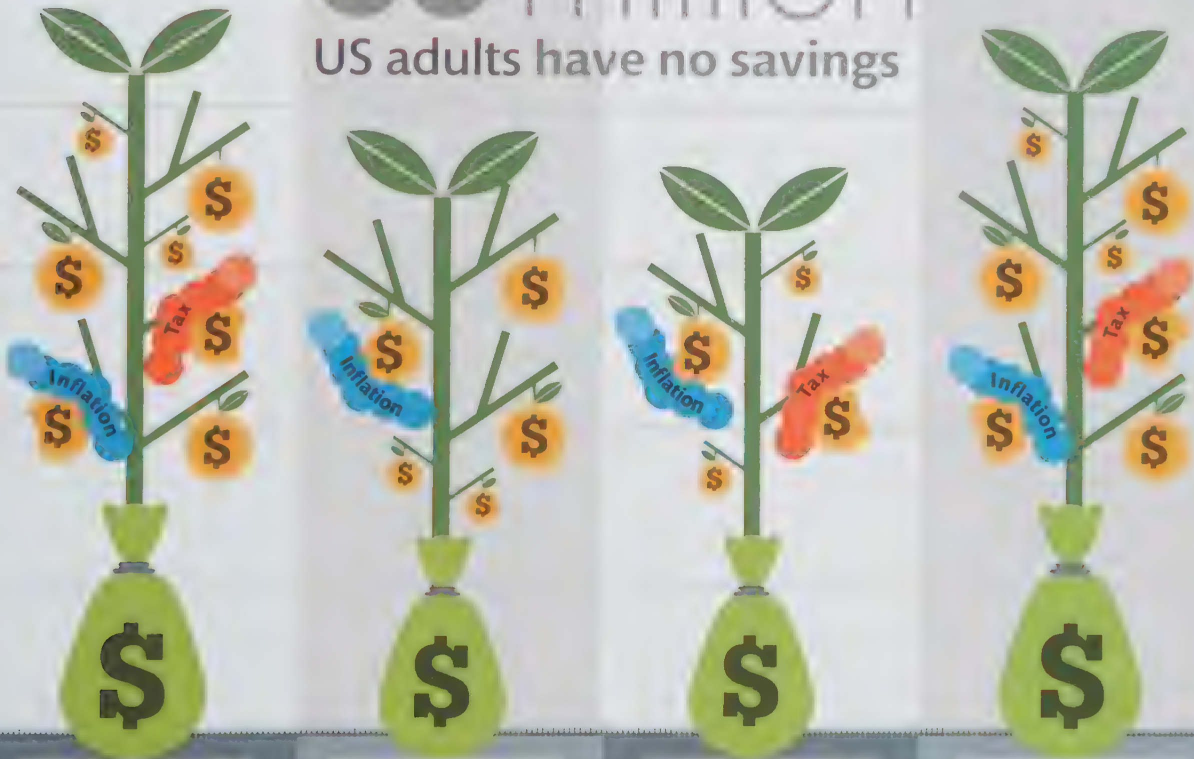
How it works

Savings accounts and fixed term deposits traditionally provide a guaranteed return with little of the risk associated with more volatile investment products such as shares or managed funds. However, when interest rates are low, it can be hard to find a savings or deposit product that offers high enough returns to provide a decent income. Many investors use fluctuating interest rates to their advantage, continually monitoring the latest offers to ensure their money is always earning the maximum interest possible. With a substantial deposit, even small changes in the interest rate can make a significant difference to earnings.

66 million
US adults have no savings



MONEY MARKET DEPOSITS
- Medium to high return
- High risk, but some banks offer FDIC-insured accounts
- High interest but high deposit and often limited term

TAX-FREE DEPOSITS
- Medium to high return
- Advantage of tax saved on certain types of bonds, which means earnings not depleted

FIXED-RATE BONDS
- Medium to high return
- Can be high risk, but some banks insure deposits
- High interest rates; some funds reinvest interest

PEER-TO-PEER LENDING
- Medium to high return
- Medium risk, but strong potential for gains
- Provides capital and interest payments